

BUSINESS INSIGHTS REPORT

Superstore Sales Intelligence Dashboard | 2014–2017

\$2.30M Total Revenue	\$286.40K Total Profit	9,994 Total Orders	12.5% Net Profit Margin
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KEY FINDINGS:

1. **West Dominates** on Both **Revenue** and **Profit Margin**.

- **According to Data:** West: \$725,457 sales | \$108,418 profit | 14.94% margin. East: \$678,781 sales | \$91,522 profit | 13.48% margin. South: \$391,721 sales | 11.93% margin. Central: \$501,239 sales | \$39,706 profit | 7.92% margin.
- **What Actually Happened:** West is not just the highest revenue region it is also the most efficient one. At 14.94% margin, it is converting more of every dollar it earns into actual profit than any other region. East is a solid second, performing consistently well on both fronts. South is smaller in scale but holding a reasonable margin. Central is where the story breaks it is the second-highest revenue region but sits at a 7.92% margin, nearly half of what West achieves. That gap is too large to be just a pricing difference.
- **Business Implications:** Central is the outlier that needs attention not because demand is weak, but because something in the cost structure or discounting behaviour is eroding margin aggressively. West's 14.94% margin should be the benchmark every region is measured against.

2. **Furniture Generates Strong Revenue** but **Weak Profitability**.

- **According to Data:** Furniture: \$741,999 revenue | \$18,451 profit | 2.49% margin. Tables: -\$17,725 profit (loss). Bookcases: -\$3,472 profit (loss).
- **What Actually Happened:** Furniture is the second highest revenue category in the entire store, but it is barely keeping any of what it earns. A 2.49% margin on \$741,999 in sales means after everything is accounted for, the business walks away with just \$18,451. Dig one level deeper into sub-categories and it gets worse. Tables and Bookcases are not just low margin, they are actively loss-making. Every Table sold is costing the business money, not making it.
- **Business Implications:** This is not a demand problem — Furniture is clearly selling. This is a margin problem, and it is concentrated in two specific sub-categories. Tables and Bookcases together are losing over \$21,000, which is more than Furniture's entire profit. Fix just these two and Furniture's profitability more than doubles overnight.

3. **1,871 Orders** Are Running at a **Loss** that Is 18.7% of All Transactions.

- **According to Data:** Total orders: 9,994. Profitable: 8,058 (80.6%). Loss-making: 1,871 (18.7%). Break-even (No profit No loss): 65 (0.7%).
- **What Actually Happened:** Nearly 1 in every 5 orders is not making money. That is not a small rounding error, that is a real structural problem. The most likely explanation is heavy discounting. When the discount column was analyzed, a significant chunk of transactions had discounts above 20%, and those tend to consistently flip the profit into negative territory

- **Business Implications:** A business losing money on 18.7% of its orders needs to seriously revisit its discounting policy. Blanket discounts might be driving volume, but they are quietly destroying margins at scale. Targeted discounting by region and category would be a smarter approach.
4. **Revenue Has Been Growing Year on Year, with a Clear Q4 Spike Every Year.**
- **According to Data:** 2014: \$484,247 | 2015: \$470,532 | 2016: \$609,205 | 2017: \$733,215. November is consistently the highest month across most years.
 - **What Actually Happened:** With the exception of a small dip between 2014 and 2015, the revenue trajectory has been steadily upward. By 2017, the business was doing 51% more revenue than 2014. The monthly breakdown reveals a consistent pattern that is Q4, especially November and December, sees a surge every single year. January and February are reliably the weakest months.
 - **Business Implications:** This seasonality pattern is entirely predictable, which means it is actionable. Inventory planning, staffing, and marketing budgets should all be aligned to this cycle. The slow months are also an opportunity targeted campaigns in February and March could smooth out the revenue curve.
5. **Sean Miller Is the Top Customer, but Customer Concentration Is Healthy.**
- **According to Data:** Top customer Sean Miller: \$25,043 | #2 Tamara Chand: \$19,052 | #10 Christopher Conant: \$12,129. Total unique customers: 793.
 - **What Actually Happened:** The top 10 customers together account for \$153,811 out of \$2.30M in total revenue that is about 6.7% of all revenue. This is actually a healthy sign. It means the business is not dangerously dependent on any single customer. There is no customer who, if they left, would crash the business.
 - **Business Implications:** The focus should be on growing the middle tier, customers who are spending between \$2,000 and \$8,000. Converting a few hundred of those into the \$10,000+ range would meaningfully move the revenue needle without requiring any new customer acquisition.

BUSINESS RECOMMENDATIONS:

1. Recommendation 1:
 - **Problem:** Central region is generating \$501,239 in sales but only \$39,706 in profit the weakest profit conversion of all regions.
 - **Root Cause:** Likely over-discounting in Central. The discount analysis shows a pattern of heavy discounts being applied broadly, particularly in the Furniture and Office Supplies categories in that region.
 - **Action:** Implement a tiered discount policy in Central. Cap discounts at 15% for standard orders, with manager approval required for anything above that. Run a 90-day pilot and track profit margin weekly.
 - **Expected Impact:** Estimated 4–6% improvement in Central's profit margin within one quarter, bringing it closer to the East's performance levels.
2. Recommendation 2:
 - **Problem:** Furniture is the second-highest revenue category at \$741,999 but produces only \$18,451 in profit, a margin of just 2.5%.
 - **Root Cause:** Sub-category analysis reveals Tables are actually running at a loss (-\$17,725 profit) and Bookcases are also negative (-\$3,472). These

two sub-categories are dragging down the entire Furniture category's profitability.

- **Action:** Review the pricing strategy for Tables and Bookcases specifically. Consider either repositioning them at higher price points, reducing promotional frequency, or evaluating whether these SKUs should continue to be stocked at current volumes.
- **Expected Impact:** Eliminating the losses in just Tables and Bookcases would add approximately \$21,000 in profit back to the Furniture category — more than doubling its current profitability.

3. Recommendation 3:

- **Problem:** Revenue dips significantly in January, February, and March every year, creating a predictable slow season that is not being addressed.
- **Root Cause:** The business does not appear to have a structured off-season strategy. The natural post-holiday slowdown is being absorbed passively rather than managed proactively.
- **Action:** Design a Q1 campaign specifically for Office Supplies, the highest-margin category. A targeted promotion for loyal customers (those who spent \$5,000+ the previous year) in January could drive early-year purchases without requiring deep discounts.
- **Expected Impact:** Even a 10–15% revenue increase in January and February would meaningfully reduce the revenue volatility and improve annual cash flow predictability.

DATA LIMITATIONS & WHAT THIS ANALYSIS DOES NOT TELL US:

1. **No customer demographics data.** The dataset does not tell us the age, industry, or company size of customers. For a B2B store like this, knowing whether top customers are enterprises or SMBs would significantly change the sales strategy.
2. **No marketing or acquisition cost data.** We can see profit per order but not the cost of acquiring each customer. A customer who spent \$10,000 but cost \$8,000 to acquire is not actually profitable for the business. Customer lifetime value cannot be calculated without this data.
3. **No return or refund data.** Sales figures here represent gross sales. If there are significant product returns especially in categories like Technology, the actual net revenue and profit numbers could look quite different.
4. **Delivery days anomalies.** For some records, delivery days were in the 150-to-230-day range which is not logistically feasible. This shows there is an inconsistency in date format in the source data. The delivery time analysis presented in this report should be considered directional, not exact.
5. **No competitor or market data.** The analysis is entirely internal. We cannot tell if Superstore's 12.5% profit margin is strong or weak for the industry without benchmarking it against comparable retailers.

CLOSING NOTE:

This analysis covers four years of transaction data across 9,994 orders, 793 customers, 3 product categories, and 4 sales regions. The numbers tell a story of a business that is growing well on the top line but has real opportunities to improve profitability particularly in Furniture, in the Central region, and through smarter discounting.

The findings and recommendations above are not just observations, they are starting points for conversations between analysts, sales teams, and operations. The value of

this kind of analysis is not in the charts themselves, but in the decisions they make possible.